



NATIONAL STOCK EXCHANGE OF INDIA, MUMBAI

EMPOWERING INVESTORS

Fourteen years ago, it was almost impossible to imagine a homemaker or a farmer in India seamlessly buying and selling stocks online from a remote village or town at minimal cost. In a country where telephone lines could not be moved from Bandra to Colaba, the founding team of the National Stock Exchange (NSE) of India discovered the solution to their connectivity problems through satellite way back in 1992. While

after the Harshad Mehta scam in 1992 where the glaring loopholes in the Indian equities market became apparent.

A crack team, comprising S. S. Nadkarni, R.H. Patil and Ravi Narain, gave up its banking jobs at IDBI and set about creating an online stock trading system. A consortium of financial institutions promoted and registered NSE as a corporate body in 1992. Initially, the exchange did not charge any listing fees from the companies so getting them to list was no problem. However, the old-time brokers from the Bombay Stock Exchange (BSE) boycotted NSE. Even in this, the new exchange found support from those brokers and chartered accountants who for long had been kept out of the BSE. The Bombay brokers' club prevented several participants from entering as there were limited seats in the BSE which were sold. So if you were not lucky enough to have bought it, then you had to stay out. Says NSE Managing Director Narain, "There were several brokers who were being kept out. They joined NSE, where all you had to do was pay a fee and start trading." The Indian markets have never looked back since then. NSE not only wanted to break the coterie of brokers but also empower the investors by ensuring that the

BHASKAR PAUL



"The brokers who were kept out of the BSE joined NSE, where all you had to do was pay a fee and start trading."

RAVI NARAIN, MANAGING DIRECTOR, NATIONAL STOCK EXCHANGE

99 per cent
NSE share in derivatives

74 per cent
NSE share in cash market

Rs 12,000 crore
NSE's daily cash market turnover

Rs 50,000 crore
NSE's daily derivatives turnover

the slightest move of its rival's 30-share Sensitive Index hogs the limelight, few know that the lion's share of the liquidity in Indian stock markets rests with the NSE. Prior to its birth in 1994, India's equity cult was dominated by a small but powerful lobby of brokers, who not only ran the exchanges but also controlled the equity markets at large.

The system may have served a purpose till 1991 but liberal India needed to attract foreign capital and portfolio investments. Indian markets desperately needed reforms and newer technologies. This was evident

clearing department was transparent. Thus was born the Clearing Corporation of India, which took charge of clearing the securities from a warehouse in downtown Mumbai.

From extending into other asset classes like currency and interest rates, what's keeping the exchange busy is the international play that's defining other exchanges today, that are on an acquisition spree to control the world's liquidity. Should NSE join the race or not is something that is keeping Narain awake these days.

by Malini Bhupta